Public Procurement Policy and General Financial Rules (GFR 153) for MSEs

Issuing Authority: Department of Expenditure, Ministry of Finance, Govt. of India

1. Policy Mandate and GFR 153 Provisions

The Department of Expenditure, Ministry of Finance, mandates under Rule 153 of the General Financial Rules (GFR), 2017, the implementation of the Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 (as amended). All Central Ministries, Departments, Public Sector Undertakings (CPSEs), and attached subordinate offices are legally obligated to meet statutory procurement quotas from MSEs.

2. Mandatory 25% Procurement Quota and Sub-Targets

Every Central Ministry, Department, and CPSE must achieve an overall annual procurement target of at least 25% of their total annual purchases from Micro and Small Enterprises. Out of this 25% target, the following mandatory sub-targets apply:

• 4% earmarked for MSEs owned by Scheduled Caste (SC) or Scheduled Tribe (ST) entrepreneurs.

• 3% earmarked for MSEs owned by Women entrepreneurs.

In cases where targeted MSEs fail to participate or meet criteria, the shortfall can be fulfilled through other qualifying MSE suppliers.

3. Financial Exemptions: EMD and Tender Fees

To promote competitive participation and ease working capital constraints for small businesses, all registered Micro and Small Enterprises possessing a valid Udyam Registration Certificate are granted:

• 100% exemption from payment of Tender Document Fees.

• 100% exemption from payment of Earnest Money Deposit (EMD) / Bid Security.

MSE bidders need only submit a simple Bid Securing Declaration confirming adherence to bid conditions.

4. Purchase Preference and L1 Price Band Mechanism

In public tender evaluations, participating MSEs quoting within a price band of L1 + 15% (where L1 is a non-MSE bidder) are given purchase preference. The qualifying MSE is invited to match the L1 price. Upon matching, the MSE is awarded at least 25% of the total tender quantity. If multiple MSEs fall within L1 + 15%, the 25% quantity is shared equally among matching MSEs.

5. Ban on Global Tender Inquiries (GTI) up to Rs. 200 Crore

Under GFR Rule 161(iv), no Global Tender Enquiry (GTI) shall be issued for government tenders up to Rs. 200 Crore (or higher threshold as notified by the Department of Expenditure). Procurements within this limit are strictly reserved for domestic suppliers, primarily benefiting Indian MSMEs and encouraging domestic manufacturing under Make in India.